



New South Wales

Local Jobs First Bill 2026

Contents

	Page
Part 1 Preliminary	
1 Name of Act	2
2 Commencement	2
3 Definitions	2
4 Application of Act	2
5 Act to bind Crown	2
Part 2 Local Jobs First Commissioner	
Division 1 Appointment of Local Jobs First Commissioner	
6 Appointment of Commissioner	3
7 Vacancy in office of Commissioner	3
8 Acting Commissioner	3
Division 2 Functions of Local Jobs First Commissioner	
9 Functions of Commissioner	4
Division 3 Miscellaneous	
10 Staff	5
11 Delegation	5
12 Annual report	5

	Page
Part 3 Local Jobs First Advisory Board	
13 Local Jobs First Advisory Board	6
14 Functions of Advisory Board	6
15 Industry reference groups	7
Part 4 Local procurement policy and plans	
16 Definitions	8
17 Procurement Minister must issue local procurement policy	8
18 Future skills guarantee	9
19 Suppliers to have local procurement plan	9
20 Decisions by Procurement Minister	9
21 Authorisations by Procurement Minister	10
22 Authorisations by government agency heads	10
23 Procurement for emergencies	11
24 Regulations in relation to local procurement policy	11
Part 5 Compliance with local procurement policy and plans	
Division 1 Reporting and disclosure of information	
25 Commissioner may require information from government agencies	13
26 Personal information	13
Division 2 Non-compliance by suppliers	
27 Definition	13
28 Application of division	13
29 Government agency to notify Commissioner	13
30 Performance management process	13
31 Commissioner may decide supplier is non-compliant	14
Division 3 Miscellaneous	
32 Notification of non-compliant government agencies	14
Part 6 Miscellaneous	
33 Exclusion of personal liability	16
34 No compensation for certain actions under Act	16
35 Disclosure of information	16
36 Regulations	16
37 Review of Act	17
Schedule 1 Local Jobs First Advisory Board	18
Schedule 2 Savings, transitional and other provisions	19
Schedule 3 Amendment of Defamation Act 2005 No 77	20
Schedule 4 Amendment of Public Works and Procurement Act 1912 No 45	21
Schedule 5 Amendment of Statutory and Other Offices Remuneration Act 1975 (1976 No 4)	26
Schedule 6 Dictionary	27

This PUBLIC BILL, originated in the LEGISLATIVE COUNCIL and, having this day passed, is now ready for presentation to the LEGISLATIVE ASSEMBLY for its concurrence.

Legislative Council

Clerk of the Parliaments



New South Wales

Local Jobs First Bill 2026

No , 2026

A Bill for

An Act to establish the office of the Local Jobs First Commissioner and to make further provision about the procurement of goods and services by government agencies; to amend the *Public Works and Procurement Act 1912* to make provision about the debarment of suppliers and other consequential matters; and for related purposes.

The LEGISLATIVE ASSEMBLY has this day agreed to this Bill with/without amendment.

Legislative Assembly

Clerk of the Legislative Assembly

The Legislature of New South Wales enacts—

Part 1 Preliminary

1 Name of Act

This Act is the *Local Jobs First Act 2026*.

2 Commencement

This Act commences as follows—

- (a) for Parts 4 and 5, Divisions 2 and 3 and Schedule 4.2—on a day or days to be appointed by proclamation,
- (b) otherwise—on the date of assent to this Act.

3 Definitions

- (1) The dictionary in Schedule 6 defines words used in this Act.
- (2) In this Act, a reference to the value of a procurement includes an estimated value of the procurement, calculated in accordance with the regulations.
Note— The *Interpretation Act 1987* contains definitions and other provisions that affect the interpretation and application of this Act.

4 Application of Act

- (1) This Act applies to the procurement of goods and services by or for a government agency to which the *Public Works and Procurement Act 1912*, Part 11 applies.
- (2) However, this Act does not apply to the following—
 - (a) procurement carried out by or for a person or body if carried out in one or more of the following ways—
 - (i) in the exercise of a function under the *Electricity Infrastructure Investment Act 2020*,
 - (ii) in accordance with a direction or authorisation under that Act,
 - (b) procurement in relation to renewable energy infrastructure prescribed by the regulations.
- (3) The Minister must not recommend the making of a regulation under subsection (2)(b) without the concurrence of the following—
 - (a) the Premier,
 - (b) the Procurement Minister,
 - (c) the Minister administering the *Electricity Infrastructure Investment Act 2020*.

5 Act to bind Crown

This Act binds the Crown in right of New South Wales and, to the extent the legislative power of the Parliament of New South Wales permits, the Crown in all its other capacities.

Part 2 Local Jobs First Commissioner

Division 1 Appointment of Local Jobs First Commissioner

6 Appointment of Commissioner

- (1) The Governor may appoint a Local Jobs First Commissioner (the *Commissioner*).
- (2) The Commissioner holds office for the term, not more than 5 years, specified in the instrument of appointment, but is eligible for reappointment.
- (3) A person is not eligible to be appointed for more than 2 terms of office as Commissioner, whether or not the terms are consecutive terms.
- (4) The Commissioner is entitled to be paid—
 - (a) remuneration in accordance with the *Statutory and Other Offices Remuneration Act 1975*, and
 - (b) travelling and subsistence allowances the Minister may decide from time to time.
- (5) The Commissioner is subject to the control and direction of the Minister.
- (6) Subsection (5) does not apply for the following purposes—
 - (a) the Commissioner advising the Procurement Board under section 9(1)(h),
 - (b) the Commissioner giving a recommendation to the Procurement Minister under section 20(2),
 - (c) the Commissioner giving advice or making recommendations to the Minister.

7 Vacancy in office of Commissioner

The office of Commissioner becomes vacant if the Commissioner—

- (a) dies, or
- (b) completes a term of office and is not reappointed, or
- (c) resigns from office by notice to the Minister, or
- (d) is removed from office by the Governor under the *Government Sector Employment Act 2013*, Part 6, or
- (e) becomes personally insolvent, or
- (f) becomes a mentally incapacitated person, or
- (g) is convicted—
 - (i) in New South Wales of an offence punishable by imprisonment for 12 months or more, or
 - (ii) elsewhere of an offence that, if committed in New South Wales, would be an offence punishable by imprisonment for 12 months or more, or
- (h) is imprisoned in relation to a conviction for an offence—
 - (i) in New South Wales, or
 - (ii) elsewhere than in New South Wales that, if committed in New South Wales, would be an offence punishable by imprisonment.

8 Acting Commissioner

- (1) The Minister may appoint a person to act as Commissioner during—
 - (a) the illness or absence of the Commissioner, or
 - (b) a vacancy in the office of Commissioner.

- (2) A person acting as Commissioner— 1
 - (a) has and may exercise the Commissioner’s functions, and 2
 - (b) is taken to be the Commissioner. 3
- (3) The Minister may, at any time, remove a person from office as acting Commissioner. 4
- (4) An acting Commissioner is entitled to be paid the same remuneration and allowances as the Commissioner. 5
6

Division 2 Functions of Local Jobs First Commissioner 7

9 Functions of Commissioner 8

- (1) The Commissioner has the following functions— 9
 - (a) to promote the use of locally produced goods and services in NSW Government procurement, 10
11
 - (b) to promote the employment and development of local workers, including learning workers, through NSW Government procurement, 12
13
 - (c) to promote the participation of local manufacturers and small and medium businesses in NSW Government procurement, 14
15
 - (d) to promote the employment and development of regional workers through, and the participation of regional manufacturers and regional small and medium businesses in, NSW Government procurement, 16
17
18
 - (e) to advise and build capability of government agencies in relation to the procurement of locally produced goods and services, 19
20
 - (f) to promote lawful and ethical practices by suppliers in the supply chain for NSW Government procurement, 21
22
 - (g) to recognise suppliers and agencies that demonstrate excellence and commitment in promoting the objectives of the local procurement policy, 23
24
 - (h) to advise the Procurement Board on government agency compliance with the local procurement policy, 25
26
 - (i) to promote, monitor and report on the implementation of the local procurement policy, 27
28
 - (j) to engage with the Procurement Board and government agencies to monitor supplier compliance with local procurement plans, 29
30
 - (k) to consult with the Procurement Board in relation to the local procurement policy, 31
32
 - (l) to consult, engage and receive information from government agencies and other persons or bodies the Commissioner considers appropriate in relation to the Commissioner’s functions under this Act, 33
34
35

Examples— the TAFE Commission, the Small Business Commissioner and the Anti-slavery Commissioner 36
37
 - (m) other functions conferred or imposed on the Commissioner by or under this Act or the regulations. 38
39
- (2) The Commissioner must regularly consult with the Procurement Board in relation to the following— 40
41
 - (a) the interaction of the Procurement Board’s functions and the Commissioner’s functions, 42
43
 - (b) the implementation of the local procurement policy, 44
 - (c) compliance by government agencies with the local procurement policy, 45

(d)	compliance by suppliers with local procurement plans.	1
Division 3	Miscellaneous	2
10	Staff	3
	Persons may be employed in the Public Service to enable the Commissioner to exercise the Commissioner's functions.	4
	Note— The <i>Government Sector Employment Act 2013</i> , section 59 provides that the persons employed for the Commissioner, or whose services the Commissioner makes use of, may be referred to as officers or employees, or members of staff, of the Commissioner. The <i>Constitution Act 1902</i> , section 47A precludes the Commissioner from employing staff.	5
		6
		7
		8
		9
11	Delegation	10
	The Commissioner may delegate the Commissioner's functions under this Act, other than this power of delegation, to the following—	11
		12
	(a) a member of staff of the Commissioner,	13
	(b) a person prescribed by the regulations.	14
12	Annual report	15
(1)	The Commissioner must, before 1 November in each year, give the Minister an annual report for the previous financial year that includes information about—	16
		17
	(a) the activities undertaken by the Commissioner in the exercise of the Commissioner's functions during the previous financial year, and	18
		19
	(b) progress towards the objectives of the local procurement policy, and	20
	(c) suppliers the Commissioner has decided are non-compliant, and	21
	(d) authorisations and decisions by the Procurement Minister,	22
	(e) authorisations given by government agency heads,	23
	(f) other matters prescribed by the regulations.	24
(2)	The Minister must, as soon as practicable after receiving an annual report, ensure a copy of the report is tabled in both Houses of Parliament.	25
		26

Part 3 Local Jobs First Advisory Board

13 Local Jobs First Advisory Board

- (1) The Minister may establish a Local Jobs First Advisory Board (the *Advisory Board*). 3
- (2) The Advisory Board must consist of the Commissioner and not more than 8 other members appointed by the Minister, comprising— 4
5
 - (a) not more than 3 members who are nominated by a peak employee organisation, 6
7
 - (b) not more than 3 members who, in the Minister's opinion, represent employer organisations, and 8
9
 - (c) not more than 2 members who, in the Minister's opinion, have skills, qualifications and experience relevant to the Advisory Board's functions. 10
11
- (3) In appointing members to the Advisory Board, the Minister must— 12
 - (a) ensure the Advisory Board has the same number of members appointed under subsection (2)(a) and (b), and 13
14
 - (b) not appoint a member under subsection 2(a), (b) or (c) who, in the Minister's opinion, represents a government sector agency within the meaning of the *Government Sector Employment Act 2013*, and 15
16
17
 - (c) consider the need for the members of the Advisory Board to together have skills, qualifications and experience relevant to the Advisory Board's functions. 18
19
20
- (4) The Commissioner is the chairperson of the Advisory Board. 21
- (5) The procedure of the Advisory Board must be decided by the Commissioner, including— 22
23
 - (a) the calling of meetings, and 24
 - (b) the conduct of business at the meetings, and 25
 - (c) the disclosure of pecuniary interests. 26
- (6) Schedule 1 contains provisions relating to the members of the Advisory Board. 27
- (7) In this section— 28
 - employer organisations* means the following— 29
 - (a) an industrial organisation of employers within the meaning of the *Industrial Relations Act 1996*, 30
31
 - (b) an association of employers registered as an organisation under the *Fair Work (Registered Organisations) Act 2009* of the Commonwealth, 32
33
 - (c) a State peak council within the meaning of the *Industrial Relations Act 1996*, section 216, 34
35
 - (d) another organisation representing an industry. 36
 - peak employee organisation* means a State peak council within the meaning of the *Industrial Relations Act 1996*, section 215. 37
38

14 Functions of Advisory Board

The functions of the Advisory Board are to— 40

- (a) advise the Minister on the following matters— 41
 - (i) policies and initiatives to promote the use of locally produced goods and services in NSW Government procurement, 42
43

- (ii) policies and initiatives to promote employment and development of local workers, including learning workers, in NSW Government procurement, 1
2
3
- (iii) policies and initiatives to promote the participation of local manufacturers and small and medium businesses in NSW Government procurement, 4
5
6
- (iv) policies and initiatives to promote the employment, retention and skills of regional workers through, and the participation of regional manufacturers and regional small and medium businesses in, NSW Government procurement, 7
8
9
10
- (v) the implementation and effectiveness of the local procurement policy, 11
- (vi) priorities and concerns of local suppliers relating to NSW Government procurement, 12
13
- (vii) ways to increase the competitiveness of local suppliers in NSW Government procurement, 14
15
- (viii) lawful and ethical conduct by suppliers and others in the supply chain for NSW Government procurement, 16
17
- (ix) other matters directed by the Minister, and 18
- (b) advise the Procurement Board on the Procurement Board's directions and policies relating to the matters under paragraph (a), whether proposed or otherwise, and 19
20
21
- (c) engage with industry and employee organisations to further the objectives of this Act. 22
23

15 Industry reference groups

- (1) The Minister may establish industry reference groups to give advice to the Advisory Board in relation to the exercise of the Advisory Board's functions. 24
25
26
- (2) The members of an industry reference group must be appointed by the Minister on the recommendation of the Advisory Board. 27
28
- (3) If the Minister establishes an industry reference group, the Minister must issue a charter to the industry reference group that outlines— 29
30
 - (a) the group's terms of reference and the way in which the group must operate, and 31
32
 - (b) any requirements for the group to report to the Minister or the Advisory Board. 33
- (4) The Minister may abolish an industry reference group. 34

Part 4 Local procurement policy and plans

Note— A government agency must comply with the local procurement policy in accordance with the *Public Works Act 1912*, section 176(1)(a1).

16 Definitions

In this part—

future skills guarantee—see section 18(1).

local procurement plan—see section 19(1)(a).

local procurement policy—see section 17(1).

17 Procurement Minister must issue local procurement policy

- (1) The Procurement Minister must issue a policy (a *local procurement policy*) in accordance with the regulations that sets out the expectations and requirements for NSW Government procurement in relation to—
 - (a) the procurement of locally produced goods and services, and
 - (b) the employment of local workers, including learning workers, on projects involving NSW Government procurement.
- (2) The objectives of the local procurement policy are as follows—
 - (a) to promote the use of locally produced goods and services in NSW Government procurement,
 - (b) to promote the employment and development of local workers, including learning workers, through NSW Government procurement,
 - (c) to promote the participation of local manufacturers and small and medium businesses in NSW Government procurement,
 - (d) other objectives prescribed by the regulations.
- (3) The local procurement policy must include the following requirements—
 - (a) requirements for the provision and use of locally produced goods and services in NSW Government procurement,
 - (b) the future skills guarantee,
 - (c) requirements to promote the maximisation of the economic, social and sustainability benefits of NSW Government procurement for the people of New South Wales,
 - (d) requirements to assess the share of value added from the use of locally produced goods and services for the economies of New South Wales and other Australian jurisdictions,
 - (e) requirements about monitoring lawful and ethical practices across supply chains and supplier operations relating to NSW Government procurement,
 - (f) requirements for government agencies to undertake due diligence on supplier ethical conduct before awarding contracts,
 - (g) requirements for compliance and reporting requirements for government agencies and suppliers under this Act or the local procurement policy,
 - (h) requirements for the submissions of suppliers to address the objectives of the local procurement policy,
 - (i) requirements for reporting by government agencies to the Commissioner about compliance by suppliers with local procurement plans,
 - (j) requirements for reporting on compliance by suppliers with local procurement plans,

(k)	requirements the Procurement Minister considers necessary to promote the objectives of the local procurement policy,	1
(l)	other requirements prescribed by the regulations.	2
(4)	The local procurement policy may—	3
(a)	apply generally or be limited in its application by reference to specified exceptions or factors, or	4
(b)	apply differently according to factors of a specified kind.	5
(5)	A copy of the local procurement policy must be published on a NSW Government website.	6
(6)	The Procurement Minister may amend the local procurement policy at any time.	7
18	Future skills guarantee	8
(1)	The <i>future skills guarantee</i> is a requirement for the employment of learning workers on projects involving NSW Government procurement that is in accordance with the regulations.	9
(2)	The regulations may make provision about—	10
(a)	minimum requirements for the number of learning workers, or classes of learning workers, employed in NSW Government procurement under the future skills guarantee, and	11
(b)	the value and kind of NSW Government procurement the future skills guarantee applies to.	12
19	Suppliers to have local procurement plan	13
(1)	A government agency must not enter into a contract with a supplier for NSW government procurement of a value or kind prescribed by the regulations unless—	14
(a)	the supplier has a plan (a <i>local procurement plan</i>) that sets out how the supplier will meet the relevant requirements of the local procurement policy for the supplier, and	15
(b)	the supplier has given a copy of the local procurement plan to the government agency, and	16
(c)	the contract requires compliance with the local procurement plan.	17
(2)	This section does not apply to procurement to which the local procurement policy does not apply.	18
(3)	This section does not prevent a government agency from, in other circumstances, requiring a supplier to—	19
(a)	have a local procurement plan, and	20
(b)	give a copy of the plan to the government agency.	21
20	Decisions by Procurement Minister	22
(1)	The Procurement Minister may decide, by written order, that the local procurement policy, or a provision of the local procurement policy, otherwise applies to NSW Government procurement specified in the decision.	23
(2)	The Procurement Minister must make the decision only on the recommendation of the Commissioner.	24
(3)	The Procurement Minister may impose conditions on the decision when making the decision or at a later time.	25
(4)	The order must be published on a NSW Government website.	26

- (5) A decision applies despite being inconsistent with another provision of this Act or the regulations. 1
2
- (6) The Procurement Minister must not delegate the exercise of a function under this section to another person. 3
4
- (7) Failure to comply with subsection (4) does not affect the decision. 5

21 Authorisations by Procurement Minister

- (1) The Procurement Minister may authorise, by written order, that the local procurement policy, or a provision of the local procurement policy, does not apply to particular procurements by a government agency. 7
8
9
- (2) The Procurement Minister must not make an authorisation unless— 10
 - (a) the Minister responsible for the government agency has requested the authorisation, and 11
12
 - (b) the Procurement Minister has— 13
 - (i) requested the Commissioner give written advice specifying whether, in the Commissioner's opinion, an authorisation should be given, and 14
15
 - (ii) the Procurement Minister has considered the advice given, and 16
 - (c) the Procurement Minister is satisfied exceptional circumstances exist for the authorisation. 17
18
- (3) The Procurement Minister may impose conditions on the authorisation on the granting of the authorisation or at a later time. 19
20
- (4) An authorisation may apply— 21
 - (a) generally or be limited in its application, or 22
 - (b) differently according to factors of a specified kind. 23
- (5) The order must be published on a NSW Government website. 24
- (6) The Procurement Minister must, if the Procurement Minister has made an authorisation inconsistent with the Commissioner's advice, publish a notice on a NSW Government website specifying the reasons why the Commissioner's advice was not followed. 25
26
27
28
- (7) A copy of the authorisation must be given to the following— 29
 - (a) the Commissioner, 30
 - (b) the Minister responsible for the government agency, 31
 - (c) the Minister. 32
- (8) The Procurement Minister must not delegate the exercise of a function under this section to another person. 33
34
- (9) Failure to comply with subsection (7) does not affect the authorisation. 35

22 Authorisations by government agency heads

- (1) The government agency head of a government agency may authorise, by written notice, that the local procurement policy, or a provision of the local procurement policy, does not apply to NSW Government procurement by the government agency. 37
38
39
- (2) The government agency head must not make an authorisation unless the government agency head— 40
41
 - (a) has notified the Commissioner at least 10 business days before making the authorisation, and 42
43

(b)	considered and responded to any advice on the proposed authorisation given by the Commissioner no later than 20 business days after being notified.	1 2
(3)	The authorisation—	3
(a)	must—	4
(i)	specify the NSW Government procurement to which the authorisation applies, and	5 6
(ii)	specify the reasons that compliance is not feasible, and	7
(iii)	specify conditions, if any, of the authorisation, and	8
(iv)	be made in accordance with the regulations, and	9
(b)	may apply—	10
(i)	generally or be limited in its application, or	11
(ii)	differently according to factors of a specified kind.	12
(4)	On or before the grant of an authorisation, the government agency head must certify that compliance with the local procurement policy, or a provision of the local procurement policy, is not feasible in the circumstances as prescribed by the regulations.	13 14 15 16
(5)	The government agency head may impose conditions on the authorisation on the granting of the authorisation.	17 18
(6)	The authorisation must be published on a NSW Government website and a copy of the authorisation must be given to the Commissioner.	19 20
(7)	An authorisation does not have effect unless subsection (6) is complied with.	21
(8)	The government agency head may revoke an authorisation made by the government agency head.	22 23
(9)	A government agency head may delegate a function of the government agency head under this section to a member of staff of the government agency.	24 25
(10)	The regulations may make provision about authorisations, including specifying the NSW Government procurement to which an authorisation may or may not apply.	26 27
23	Procurement for emergencies	28
(1)	The government agency head of a government agency may, in an emergency, authorise that the local procurement policy, or a provision of the local procurement policy, does not apply to a procurement by the government agency.	29 30 31
(2)	Immediately after making an authorisation, the government agency head must ensure the Commissioner and the Procurement Board are notified of the authorisation.	32 33
(3)	The authorisation applies only to NSW Government procurement necessary to meet the needs of the emergency.	34 35
(4)	A government agency head may delegate the making of an authorisation under this section to a member of staff of the government agency.	36 37
24	Regulations in relation to local procurement policy	38
	The regulations may make provision about the following—	39
(a)	requirements to be included in the local procurement policy, including requirements about local procurement plans,	40 41
(b)	the evaluation of NSW Government procurement for the local procurement policy, whether the evaluation is by weighting or another methodology,	42 43

- (c) the circumstances in which the local procurement policy applies or does not apply to NSW Government procurement or government agencies in relation to the value of the procurement, 1
2
3
- (d) local procurement plans, including the making and amending of local procurement plans, 4
5
- (e) the functions of government agencies in relation to local procurement plans. 6

Part 5	Compliance with local procurement policy and plans	1
Division 1	Reporting and disclosure of information	2
25	Commissioner may require information from government agencies	3
(1)	The Commissioner may require a government agency to give the Commissioner information the Commissioner considers necessary for the exercise of the Commissioner's functions under this Act.	4 5 6
(2)	The government agency must comply with a request made by the Commissioner under subsection (1) unless—	7 8
(a)	the disclosure of the information could reasonably be expected to have one or more of the effects described in the <i>Government Information (Public Access) Act 2009</i> , section 14, Table, item 2, or	9 10 11
(b)	the information is government information described in the <i>Government Information (Public Access) Act 2009</i> , Schedule 1, or	12 13
(c)	the information is excluded information for an agency specified in the <i>Government Information (Public Access) Act 2009</i> , Schedule 2.	14 15
(3)	Information must be provided in accordance with this section despite the <i>Privacy and Personal Information Protection Act 1998</i> , but only to the extent that the information is relevant to the exercise of a function of the Commissioner under section 9(1)(h), (i), (k) and (l).	16 17 18 19
26	Personal information	20
	The Commissioner is a public sector agency for the purposes of the <i>Privacy and Personal Information Protection Act 1998</i> .	21 22
Division 2	Non-compliance by suppliers	23
27	Definition	24
	In this division—	25
	<i>performance management process</i> —see section 30(2).	26
28	Application of division	27
	This division applies to a supplier who has prepared and given a local procurement plan to a government agency.	28 29
29	Government agency to notify Commissioner	30
(1)	A government agency must give written notice to the Commissioner about a supplier who is not acting in accordance with a local procurement plan.	31 32
(2)	The notice must be given within 45 business days after the government agency becomes aware of the supplier's conduct.	33 34
30	Performance management process	35
(1)	This section applies if the Commissioner suspects a supplier has not acted, or likely not acted, in accordance with a local procurement plan.	36 37
(2)	The Commissioner may, by written notice, require a government agency to carry out a process (a <i>performance management process</i>) to manage the supplier's conduct under a contract to which the local procurement plan relates.	38 39 40

- (3) The notice must specify the time by which the performance management process must be completed. 1
2
- (4) The government agency must comply with the notice. 3
- (5) The regulations may make further provision about the performance management process, including the following— 4
5
 - (a) consultation requirements before issuing a notice, 6
 - (b) other details that must be included in a notice, 7
 - (c) the steps the government agency must take to address the supplier's conduct, 8
 - (d) the steps the supplier must take to demonstrate compliance with the performance management process and the local procurement plan, 9
10
 - (e) reporting obligations for government agencies about the performance management process, 11
12
 - (f) the variation or revocation of a notice, 13
 - (g) the circumstances in which the performance management process may be extended or terminated. 14
15
- (6) The giving of a notice under this section does not affect the validity of a contract. 16

31 Commissioner may decide supplier is non-compliant 17

- (1) In accordance with the regulations, the Commissioner may, by notice to the supplier, decide that a supplier is *non-compliant* if— 18
19
 - (a) the supplier has not acted, or likely not acted, in accordance with a local procurement plan, and 20
21
 - (b) the supplier does not comply with a performance management process. 22
- (2) The Commissioner must not make a decision that the supplier is non-compliant unless— 23
24
 - (a) the government agency has notified the Commissioner the supplier has failed to comply with a performance management process, or 25
26
 - (b) the performance management process has ended. 27
- (3) An appeal may be made to the Civil and Administrative Tribunal against a decision that a supplier is non-compliant. 28
29
- (4) The regulations may make further provision about the following— 30
 - (a) the steps the Commissioner must take, and the matters the Commissioner must consider, before making a decision, including consultation requirements, 31
32
 - (b) the factors indicating non-compliance with a performance management process, 33
34
 - (c) the way in which a notice of a decision must be given, 35
 - (d) the persons the Commissioner must notify after making a decision. 36

Division 3 Miscellaneous 37

32 Notification of non-compliant government agencies 38

- (1) The Commissioner may notify the Procurement Board if the Commissioner reasonably believes a government agency has not complied with the government agency's obligations under this Act or the local procurement policy. 39
40
41
- (2) The Procurement Board must give the Commissioner a written response no later than 42
40 business days after receiving a notice under subsection (1). 43

- (3) The response must include the following information—
 - (a) whether the Procurement Board supports the Commissioner’s decision, including the reasons why, and
 - (b) information about the action the Procurement Board is considering to address the government agency’s non-compliance.
- (4) The Commissioner may give the Minister a copy of the response.
- (5) The Procurement Board must take the action the Procurement Board sees fit for a government agency the subject of a notice.
- (6) The action taken by the Procurement Board must be in accordance with the Procurement Board’s functions under the *Public Works and Procurement Act 1912*, Part 11.
- (7) If the Commissioner notifies the Procurement Board about a government agency under subsection (1), the Commissioner must also notify the government agency head of the government agency.

Part 6 Miscellaneous

33 Exclusion of personal liability

- (1) The Commissioner is not personally subject to liability for anything done—
 - (a) in good faith, and
 - (b) for the purpose of exercising a function under this Act.
- (2) The liability instead attaches to the Crown.
- (3) In this section—

done includes omitted to be done.

liability means civil liability and includes action, claim and demand.

34 No compensation for certain actions under Act

- A person is not entitled to compensation or remedy for loss or damage as a result of the following—
- (a) the publication of an annual report published by the Commissioner,
 - (b) the disclosure of information by a government agency to the Commissioner,
 - (c) actions carried out by a government agency in relation to a performance management process,
 - (d) a decision by the Commissioner, or a publication of the Commissioner's decision, that a supplier is non-compliant,
 - (e) the publication or disclosure about matters published, taken, decided or disclosed under paragraphs (a)–(d).

35 Disclosure of information

- (1) A person must not disclose information obtained in connection with the administration or execution of this Act unless the disclosure is made—
 - (a) with the consent of the person from whom the information was obtained, or
 - (b) in connection with the administration, execution or enforcement of—
 - (i) this Act, including under Part 5, or
 - (ii) the *Public Works and Procurement Act 1912*, Part 11, or
 - (c) for legal proceedings arising out of this Act or of a report of the legal proceedings, or
 - (d) in accordance with a requirement imposed—
 - (i) by the Commissioner under Part 5, or
 - (ii) under the *Ombudsman Act 1974*, or
 - (e) with another lawful excuse.

Maximum penalty—50 penalty units.

- (2) Information held by a government agency may be disclosed to the Commissioner in accordance with the government agency's obligations under this Act.

36 Regulations

- (1) The Governor may make regulations, not inconsistent with this Act, about a matter that is—
 - (a) required or permitted by this Act to be prescribed, or
 - (b) necessary or convenient to be prescribed for carrying out or giving effect to this Act.

(2)	Without limiting subsection (1), the regulations may make provision about the calculation of the value of procurement, or the estimated value of procurement, for the purposes of this Act.	1 2 3
37	Review of Act	4
(1)	The Standing Committee on Social Issues of the Legislative Council must review this Act to decide whether—	5 6
(a)	the policy objectives of the Act remain valid, and	7
(b)	the terms of the Act remain appropriate for securing the objectives,	8
(c)	the local procurement policy and local procurement plans have been effective in achieving the objectives of the local procurement policy.	9 10
(2)	The review must be undertaken as soon as practicable after the period of 3 years from the commencement of this Act.	11 12
(3)	A report on the outcome of the review must be tabled in each House of Parliament within 12 months after the commencement of the review.	13 14

Schedule 1 Local Jobs First Advisory Board

section 13(6)

1 Definition

In this schedule—

member means a member of the Advisory Board, other than the Commissioner.

2 Term of office of members

- (1) A member holds office for the term, not more than 5 years, specified in the instrument of appointment.
- (2) A member is eligible, if otherwise qualified, for reappointment, but must not hold office for a cumulative period of more than 5 years.

3 Remuneration

The Minister may decide whether a member is entitled to be paid the remuneration decided by the Minister in accordance with the regulations.

4 Vacancy in office of member

- (1) The office of a member becomes vacant if the member—
 - (a) dies, or
 - (b) completes a term of office and is not reappointed, or
 - (c) resigns from office by written notice to the Minister, or
 - (d) is removed from office by the Minister under subsection (2), or
 - (e) is absent from 3 consecutive meetings of the Advisory Board of which reasonable notice has been given to the appointed member, unless the appointed member is—
 - (i) on leave granted by the Minister, or
 - (ii) excused by the Minister for having been absent from the meetings, or
 - (f) becomes personally insolvent, or
 - (g) becomes a mentally incapacitated person, or
 - (h) is convicted—
 - (i) in New South Wales of an offence punishable by imprisonment for 12 months or more, or
 - (ii) elsewhere of an offence that, if committed in New South Wales, would be an offence punishable by imprisonment for 12 months or more, or
 - (i) is imprisoned in relation to a conviction for an offence—
 - (i) in New South Wales, or
 - (ii) elsewhere than in New South Wales that, if committed in New South Wales, would be an offence punishable by imprisonment.
- (2) The Minister may remove a member from office.

Schedule 2 Savings, transitional and other provisions 1

Part 1 General 2

1 Regulations 3

- (1) The regulations may contain provisions of a savings or transitional nature consequent on the commencement of—
 - (a) a provision of this Act, or 6
 - (b) a provision amending this Act. 7
- (2) A savings or transitional provision consequent on the commencement of a provision must not be made more than 2 years after the commencement. 8 9
- (3) A savings or transitional provision made consequent on the commencement of a provision is repealed 2 years after the commencement. 10 11
- (4) A savings or transitional provision made consequent on the commencement of a provision may take effect before the commencement but not before—
 - (a) for a provision of this Act—the date of assent to this Act, or 14
 - (b) for a provision amending this Act—the date of assent to the amending Act. 15
- (5) A savings or transitional provision taking effect before the provision's publication on the NSW legislation website does not—
 - (a) affect the rights of a person existing before the publication in a way prejudicial to the person, or 18 19
 - (b) impose liabilities on a person for anything done or omitted to be done before the publication. 20 21
- (6) In this section—
person does not include the State or an authority of the State. 22 23

Part 2 Provision consequent on enactment of Act 24

1 Regulations made before 31 December 2026 25

The *Subordinate Legislation Act 1989*, Part 2 does not apply to a regulation made under this Act if the regulation is made after the date of assent to this Act and before 31 December 2026. 26 27 28

Schedule 3 Amendment of Defamation Act 2005 No 77

Schedule 1 Additional publications to which absolute privilege applies

Insert at the end of the schedule, with appropriate clause numbering—

Matters arising under Local Jobs First Act 2026

Without limiting section 27(2)(a)–(c), matter that is published—

- (a) to or by the Local Jobs First Commissioner or acting Local Jobs First Commissioner in their capacity as the Local Jobs First Commissioner or acting Local Jobs First Commissioner, or
- (b) to a member of staff of the Local Jobs First Commissioner in their capacity as a member, or
- (c) to a member of staff of a government agency in the administration or execution of the *Local Jobs First Act 2026*, or
- (d) in annual reporting information under the *Local Jobs First Act 2026*, section 12.

Matters relating to debarment of suppliers under Public Works and Procurement Act 1912

Without limiting section 27(2)(a)–(c), matter that is published—

- (a) to or by the NSW Procurement Board, established under the *Public Works and Procurement Act 1912*, section 164(1), in relation to its functions under that Act, Part 11, Division 6A,
- (b) to a member of staff of a government agency in the administration or execution of the *Public Works and Procurement Act 1912*, Part 11, Division 6A,
- (c) in accordance with regulations under the *Public Works and Procurement Act 1912*, section 176IB(4).

Schedule 4 Amendment of Public Works and Procurement Act 1912 No 45

4.1 Amendments consequent on enactment of Act

[1] Section 162 Definitions

Omit the definition of *government agency head*.

Insert instead in alphabetical order—

government agency head means—

- (a) for a government agency that is a Public Service agency—the person who is the head of the Public Service agency within the meaning of the *Government Sector Employment Act 2013*, or
- (b) for another government agency—the person who is the chief executive officer, however described, of the agency or otherwise responsible for the agency's day-to-day management, but is not the agency's governing body.

Public Service agency has the same meaning as in the *Government Sector Employment Act 2013*.

[2] Section 166 Ministerial control

Omit “Government-wide procurement policy” from section 166(2).

Insert instead “Government procurement policy published by the Minister on a NSW Government website”.

[3] Section 172 Functions of Board

Insert after section 172(1)(g)—

- (g1) to regularly consult with the Local Jobs First Commissioner, within the meaning of the *Local Jobs First Act 2026*, on matters specified under that Act, section 9(2),
- (g2) to engage with the Local Jobs First Advisory Board established under the *Local Jobs First Act 2026*, section 13 in the administration or execution of that Act by the Local Jobs First Advisory Board,

[4] Section 172(3)

Omit “Government-wide procurement policies”.

Insert instead “Government procurement policy published by the Minister on a NSW Government website”.

[5] Section 175 Board may issue directions or policies for government agencies

Insert after section 175(4)—

- (5) If there is an inconsistency between a policy issued by the Minister and a direction or policy issued by the Board, the policy issued by the Minister prevails to the extent of the inconsistency.

[6] Section 176 Obligations of government agencies

Insert after section 176(1)(a)—

- (a1) a Government procurement policy published by the Minister on a NSW Government website as the policy applies to the agency, and

4.2 Amendments about debarment of suppliers

[1] Section 172 Functions of Board

Insert “including in relation to the debarment of suppliers under Division 6A,” after “government agencies,” in section 172(1)(c).

[2] Section 175 Board may issue directions or policies for government agencies

Insert after section 175(3)(a1)—

- (a2) without limiting paragraph (a), reasonable steps that must be taken by a government agency under sections 176IC and 176IE in relation to a procurement with suppliers, and

[3] Part 11, Division 6A

Insert after Division 6—

Division 6A Debarment of suppliers

176IA Definitions

In this division—

authorisation means an authorisation granted by the Board under section 176ID.

authority means the following of the State or another jurisdiction—

- (a) a court,
- (b) a tribunal,
- (c) another person or body.

conduct includes an act and omission.

debarment event—see section 176IB(1)(a).

debarred supplier—see section 176IB(1).

listed supplier means a debarred supplier included on the list kept in accordance with regulations made under section 176IB(4).

supplier, in relation to a procurement, means a person who provides, or could provide, goods or services to a government agency.

176IB Debarred suppliers

- (1) A supplier is a **debarred supplier** if—

- (a) one of the following occurs in relation to the supplier (a **debarment event**)—
 - (i) the conviction of the supplier or principal officer for an offence prescribed by the regulations,
 - (ii) a penalty prescribed by the regulations being imposed on the supplier or principal officer by an authority, other than a penalty imposed as a result of a conviction referred to in subparagraph (i),
 - (iii) the finding of a kind prescribed by the regulations by an authority concerning the conduct of the supplier or principal officer,
 - (iv) another adverse event of a kind prescribed by the regulations concerning the conduct of the supplier or principal officer, or
- (b) the supplier is a related supplier of a supplier to which a debarment event occurs.

(2)	A supplier stops being a debarred supplier after—	1
(a)	5 years from the day on which the debarment event occurs, or	2
(b)	a lesser prescribed period in prescribed circumstances.	3
(3)	A supplier stops being a debarred supplier on the day on which a conviction to which the debarment event relates is quashed or set aside.	4
(4)	The regulations must provide for matters about the Board keeping and publishing a list in relation to debarred suppliers.	6
(5)	The regulations may also provide for the following—	8
(a)	the exemption of a supplier from this section,	9
(b)	the circumstances in which the conduct of a principal officer does not give rise to a debarment event.	10
(6)	In this section—	12
	principal officer , of a supplier, means the following persons—	13
(a)	a director or secretary of a corporation,	14
(b)	a member of a partnership,	15
(c)	a trustee of a trust,	16
(d)	a senior manager within the meaning of the <i>Corporations Act 2001</i> of the Commonwealth.	17
	related supplier , of another supplier, means the following—	19
(a)	a supplier controlled by the other supplier,	20
(b)	a related body corporate, within the meaning of the <i>Corporations Act 2001</i> of the Commonwealth, of the other supplier,	21
(c)	a successor of the other supplier.	22
1761C	Government agencies must not contract with listed suppliers	24
(1)	A government agency must not enter into a contract for procurement with a listed supplier.	25
(2)	A government agency must not extend the term or scope of a contract for procurement with a listed supplier unless the government agency is authorised to extend the term or scope of the contract.	27
(3)	In the procurement of goods or services, a government agency must not deal with a supplier who is an agent or representative of a listed supplier.	30
1761D	Authorisation for government agencies	32
(1)	The Board may, subject to the regulations, grant an authorisation to a government agency to extend the term or scope of a contract for procurement with a listed supplier on application by the government agency.	33
(2)	The Board must consider an application from a government agency.	36
(3)	The Board must not grant an authorisation unless the Board is satisfied the authorisation is necessary—	37
(a)	to ensure the delivery of essential services, within the meaning of the <i>Essential Services Act 1988</i> , within the time required, or	39
(b)	to ensure the delivery of other essential services within the time required.	41

(4)	An authorisation is subject to the conditions imposed by the Board on the granting of the authorisation or at a later time.	1 2
(5)	The regulations may make provision about the conditions that must be imposed on an authorisation by the Board.	3 4
(6)	The Board may, subject to the regulations, vary or revoke an authorisation, including a condition of the authorisation not required by the regulations to be imposed.	5 6 7
(7)	The Board must, in accordance with the regulations, publish information about an authorisation on a NSW Government website.	8 9
176IE	Government agencies to avoid listed suppliers and related subcontractors	10
	On entering into a contract for the supply of goods or services with a supplier, a government agency must—	11 12
(a)	have taken reasonable steps to enquire as to whether the supplier intends to subcontract with a listed supplier in relation to the contract, and	13 14
(b)	ensure the supplier is contractually bound to not subcontract with a listed supplier in relation to the contract.	15 16
176IF	No contravention of enforceable procurement provisions	17
	A government agency does not contravene an enforceable procurement provision in carrying out an obligation under this division.	18 19
176IG	No compensation for certain actions under division	20
(1)	A person is not entitled to compensation or remedy for loss or damage as a result of the following—	21 22
(a)	anything done by a government agency for the purposes of complying with section 176IC or 176IE,	23 24
(b)	anything done by the Board for the purposes of exercising the Board's functions under this division or regulations made under this division,	25 26
(c)	a person being a debarred supplier, including being included on a list kept by the Board in accordance with regulations under section 176IB(4),	27 28 29
(d)	the publication of information in accordance with regulations under section 176IB(4) or the further publication of the information.	30 31
(2)	In this section— <i>done</i> includes omitted to be done.	32 33
[4]	Section 178 Regulations	34
	Omit "Division." from section 178(1A)(b).	35
	Insert instead—	36
	division,	37
(c)	the debarment of suppliers from supplying goods and services to government agencies,	38 39
(d)	authorisations granted by the Board under section 176ID, including the granting of authorisations.	40 41
[5]	Fifth Schedule Members and procedure of NSW Procurement Board	42
	Insert after clause 11—	43

12	Other attendees	1
(1)	The Local Jobs First Commissioner, appointed under the <i>Local Jobs First Act 2026</i> , may attend and participate in Board meetings.	2 3
(2)	The Local Jobs First Commissioner is not entitled to vote at Board meetings.	4
(3)	The Local Jobs First Commissioner is not a member of the Board.	5
(4)	The Local Jobs First Commissioner must be given notice of all Board meetings.	6 7
[6]	Ninth Schedule Savings, transitional and other provisions	8
	Insert at the end of the schedule—	9
	Provisions consequent on enactment of Local Jobs First Act 2026	10
5	Debarment events	11
	A debarment event referred to in section 176IB(1)(a) does not include a debarment event that occurred before the commencement of the section.	12 13
6	Prohibition on government agencies contracting with listed suppliers	14
	A reference to a contract in section 176IC(2) does not apply to a contract entered into before the commencement of the section.	15 16

Schedule 5	Amendment of Statutory and Other Offices	1
	Remuneration Act 1975 (1976 No 4)	2
Schedule 2	Public offices	3
Insert at the end of Part 1—		4
Local Jobs First Commissioner		5

Schedule 6 Dictionary

	1
	2
	3
<i>Advisory Board</i> —see section 13(1).	3
<i>Commissioner</i> —see section 6(1).	4
<i>financial year</i> means a period of 12 months commencing on 1 July.	5
<i>function</i> includes a power, authority and duty.	6
<i>future skills guarantee</i> , for Part 4—see section 16.	7
<i>government agency</i> has the same meaning as in the <i>Public Works and Procurement Act 1912</i> , Part 11.	8
<i>government agency head</i> has the same meaning as in the <i>Public Works and Procurement Act 1912</i> , Part 11.	9
<i>learning worker</i> means a local worker who is one of the following—	10
(a) an apprentice,	11
(b) a cadet,	12
(c) a trainee,	13
(d) a worker employed within 2 years after the worker’s successful completion of a higher education qualification within the meaning of the <i>Higher Education Act 2001</i> ,	14
(e) another class of local worker specified by the Minister by order in the Gazette.	15
<i>local procurement plan</i> —see section 16.	16
<i>local procurement policy</i> —see section 16.	17
<i>small and medium business</i> means—	18
(a) a business that has less than 200 full-time equivalent employees, or	19
(b) a cooperative of local suppliers created under legislation of a State or Territory.	20
<i>local supplier</i> means a supplier who primarily operates in New South Wales or another Australian jurisdiction.	21
<i>local worker</i> means a worker, including a self-employed person, whose regular place of residence is in New South Wales or another Australian jurisdiction.	22
<i>locally produced goods and services</i> means—	23
(a) goods produced in New South Wales or another Australian jurisdiction, and	24
(b) services provided by persons based in New South Wales or another Australian jurisdiction.	25
<i>member</i> , for Schedule 1—see Schedule 1, section 1.	26
<i>non-compliant</i> , in relation to a supplier—see section 31(1).	27
<i>NSW Government procurement</i> means procurement to which this Act applies.	28
<i>performance management process</i> , for Part 5, Division 2—see section 27.	29
<i>procurement</i> has the same meaning as in the <i>Public Works and Procurement Act 1912</i> , Part 11.	30
<i>Procurement Board</i> means the New South Wales Procurement Board established under the <i>Public Works and Procurement Act 1912</i> , section 164(1).	31
<i>Procurement Minister</i> means the Minister administering the <i>Public Works and Procurement Act 1912</i> , Part 11.	32
	33
	34
	35
	36
	37
	38
	39

supplier has the same meaning as in the *Public Works and Procurement Act 1912*, Part 11, Division 6A.

1
2